

not by choice, but as part of her company's benefits package. Upon graduation from a community college at the age of twenty, she took a job with a telecommunications firm. In addition to her salary, she regularly received shares of the company stock. For years she watched the value of her stock increase. Even though Martha's salary was lower than her comparable position at other companies, she never complained because she counted her stock value as part of her salary.

When the company went through reorganization and the stock value fell, she was assured that the company would reemerge stronger than ever. Unfortunately, the reorganization her firm referred to was a Chapter 11 bankruptcy. Shortly after filing bankruptcy, the company had a massive layoff and Martha lost her job. Her stock was now virtually worthless.

Even though Martha is now reemployed at a strong, stable company, she is still paralyzed to enter the stock market. She refused a stock options package when she was hired. Other employees who were hired around the same time as Martha have seen their stock value increase by 200 percent. Martha knows she is missing out, but she cannot get over her fear of investing. Consequently, she has opted to leave her money in a low interest savings account.

She is not alone. As of 2004, Americans had \$259 billion in checkable deposits, \$4.3 trillion in savings deposits and \$903 billion in bank money market accounts, according to the Federal Reserve. However, many checking accounts don't pay any interest at all. And for those accounts that pay interest, it is often at a low rate. Rates vary greatly depending on the financial institution but the current average interest rate on a passbook savings account is a mere 2-4 percent, and bank money market accounts pay on average only 4-5 percent.

This chart by Bank Rate Monitor shows what would happen to a deposit of \$10,000 over ten years. Based on an average annual return per product:

